

Before the Federal Maritime Commission, Washington, DC.

Docket No. 25-08

FormuKleen, Inc.
(Complainant)

vs.

Top Shipping Systems, Corp.
(Respondent)

COMPLAINANT’S MOTION FOR SUMMARY JUDGMENT

Complainant FormuKleen, Inc. (“FormuKleen”) respectfully submits this Motion for Summary Judgment pursuant to 46 C.F.R. §§ 502.70. Based solely on Respondent Top Shipping Systems, Corp.’s (“TSS”) Verified Answer, dated July 8, 2025, it is evident that no genuine issue of material fact exists, and that judgment in favor of Complainant is appropriate as a matter of law. TSS’s own admissions establish that it engaged in conduct prohibited by 46 U.S.C. § 41102(c), including unjust and unreasonable cargo detention and storage practices following international ocean transport and §§§ 41104(a)(4)(E), 41102(d)(B), and 41104(a)(10). TSS’s self-serving legal characterizations and jurisdictional disclaimers do not alter the operative facts, all of which are now undisputed.

Summary Judgment Standard

The Commission’s Rules do not explicitly provide for motions for summary judgment. However, under Commission Rule 12, to the extent that application of the Federal Rules is consistent with sound administrative practice, the Federal Rules of Civil Procedure (“FRCP”) must be followed. 46 C.F.R. § 502.12.

Pursuant to FRCP 56(a), summary judgment must be granted when “there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” At the summary judgment stage, “the judge’s function is not himself to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial.” *Anderson v. Liberty Lobby Inc.*, 477 U.S. 242, 249 (1986). At this stage, the judge does not weigh evidence or assess credibility, but determines whether a genuine issue exists for trial.

The moving party must demonstrate that no material fact is in dispute and that judgment is appropriate based on the record alone. Complainant easily meets this burden. TSS’s Verified Answer leaves no room for factual dispute. TSS admits that it withheld Complainant’s cargo after international arrival, diverted the containers to its own warehouse, and refused to release them until unrelated debts were paid. TSS further admits it invoked no formal lien, pursued no legal process, and does not claim the withheld containers were unpaid for. It does not dispute that the shipments moved in international ocean transportation, nor does it claim that the charges it demanded were governed by any FMC tariff. These admitted facts alone establish violations of 46 U.S.C. § 41102(c).

As the Supreme Court held in *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.* 475 U.S. 574, 587 (1986), summary judgment must be granted where “the record taken as a whole could not lead a rational trier of fact to find for the non-moving party.” The record here, TSS’s own sworn admissions; confirms every element of Complainant’s claims. There is no plausible reading of the Verified Answer under which TSS’s conduct could be deemed lawful or reasonable.

Likewise, under *Celotex Corp. v. Catrett* 477 U.S. 317, 323–24 (1986), summary judgment is proper when the moving party shows there is no genuine dispute of material fact, shifting the burden to the non-moving party to produce evidence of a triable issue. TSS presents no such evidence. It does not

deny the conduct in question; it merely offers legal justifications that cannot shield it from liability.

This does not create a factual dispute sufficient to avoid summary judgment.

This case exemplifies the very purpose of summary judgment: a clear record, undisputed operative facts, and unlawful conduct admitted in the defendant's own words. There are no facts left for a factfinder to resolve. Summary judgment is not only appropriate here; it is necessary to enforce the Shipping Act and prevent admitted statutory violations from being rewarded with delay.

1. No Genuine Dispute of Material Fact Exists

TSS admits that it physically received, handled, stored, and delayed delivery of two international ocean cargo containers, CSHU4047424 and BSIU8431017, that had completed or were nearing completion of ocean transport. According to TSS, it received telex releases and diverted both containers to its own or affiliated yards and warehouses. It further states that it withheld delivery of the containers from FormuKleen due to outstanding unrelated payment obligations, and that it revoked credit terms, refused to advance further duties, and imposed warehouse and storage charges. TSS does not dispute that the containers were under its custody after ocean arrival, nor does it dispute that release was contingent on payment of invoices for unrelated shipments. Instead, TSS openly justifies its conduct as lawful, necessary, and commercially reasonable.

In particular, Respondent states that container CSHU4047424 “was pulled and held at our trucking partner’s yard until February 25, when it was finally delivered to FormuKleen’s warehouse after delays caused by unpaid balances owed to TSS.” (Verified Answer, ¶1 *5) Respondent admits that it withheld delivery for over two weeks post-port arrival. With respect to container BSIU8431017, TSS states that it “paid port storage fees and transferred the container to its warehouse,” (Answer ¶3 *6) and that it then “notified FormuKleen of cargo status, storage charges, and the process to retrieve goods.”

(Answer ¶3 *6) Again, TSS concedes the cargo was placed under its control, contravened under their authority and not the Consignee's, and not released until certain payment conditions were met.

Further, TSS declares that it revoked credit terms, ceased advancing duties, and declined to release goods unless and until outstanding amounts were satisfied. It then justifies all actions as being within its rights under the Uniform Commercial Code (UCC § 7-209) as a warehouseman. TSS repeatedly argues that its retention of cargo was not punitive, but nowhere does it claim that it had authorization from FormuKleen to move, hold, or warehouse the goods post-port.

Thus, the material facts are undisputed:

- (1) TSS took possession of cargo that had been shipped in international ocean commerce;
- (2) Without authorization, TSS placed and kept the cargo in its or its agent's yard or warehouse after port availability;
- (3) TSS conditioned release of the cargo on payment of additional charges not relevant to those containers;
- (4) TSS billed FormuKleen for storage and handling while refusing release; and
- (5) FormuKleen was forced to navigate a series of imposed conditions to regain possession of its property, a process that is still not complete.

2. Respondent's Justifications Are Legally Irrelevant

Although TSS denies being subject to the Shipping Act with respect to the specific transactions, the legal theory it advances is flatly contradicted by its own conduct. TSS describes itself throughout the Verified Answer as a provider of customs brokerage, drayage/trucking, and warehousing, and contends that these services "fall outside the scope of the Shipping Act." (Answer ¶2 *10 and multiple

others) However, the applicability of the Act does not turn on Respondent's self-characterization of its services, but rather on whether it engaged in receiving, handling, storing, or delivering property moving in ocean commerce, and whether its practices were just and reasonable.

Complainant alleged that TSS was engaged as its Ocean Transportation Intermediary (OTI), primarily in the capacity of a freight forwarder and customs broker. TSS's own admissions corroborate that it functioned as the OTI for Complainant, particularly as an NVOCC¹, arranging for inland transportation, warehousing shipments, and advancing freight-related charges in connection with cargo moving in international commerce, among other activities. TSS admittedly and undeniably acted as a regulated OTI subject to the Shipping Act. Its own Verified Answer confirms this and forecloses any dispute regarding jurisdiction.

TSS's Verified Answer is a series of direct admissions that expose the falsity of its claim that it "did not act as an Ocean Freight Forwarder ('OFF') or Non-Vessel Operating Common Carrier ('NVOCC')." While TSS tries to narrowly define its role, its own words prove otherwise:

1. "TSS acted solely as a trucking (drayage) provider, customs broker, and warehouse operator for those shipments" (Answer ¶3 *1)

This admission appears in TSS's Preliminary Statement. By describing itself as an inland transportation provider and warehouse operator for the subject shipments, TSS concedes it was engaged in inland transportation and warehousing services related to international cargo.

Warehousing and inland transportation and their charges in connection with ocean shipments is directly tied to an NVOCC's recognized activities, including entering into arrangements with

¹ See *Petra Pet, Inc. v. Panda Logistics Co. Ltd.*, Dkt. No. 11- 14, FMC 2013 where the Presiding Officer stated that core regulated OTI/NVOCC activities included, but were not limited to: payment of port-to-port or multimodal transportation charges, entering into affreightment agreements with underlying shippers, issuing bills of lading or equivalent documents, arranging for inland transportation and paying for inland freight charges on through transportation movements, paying lawful compensation to ocean freight forwarders, leasing containers, or entering into arrangements with origin or destination agents.

destination agents and assuming custody of cargo subject to ocean transport. This is an express admission that TSS performed a core regulated function.

2. **“The container was pulled and held at our trucking partner’s yard until February 25, when it was finally delivered to FormuKleen’s warehouse”** (Answer ¶1 *5) **“TSS paid port storage fees and transferred the container to its warehouse.”** (Answer ¶3 *6)

TSS made these statements regarding containers CSHU4047424 and BSIU8431017. By admitting that it retrieved the container from the port and stored it in its warehouse, TSS confirms it assumed control and responsibility over international ocean cargo after port arrival and paid port fees on behalf of FormuKleen; consistent with the role of an NVOCC managing inland movement and delivery after ocean carriage. This also implicates arranging for inland transportation and entering into destination handling arrangements. Additionally, TSS admits to “Paying port storage, outlay fees as a courtesy, and warehouse fees...” and to “Absorbing brokerage, trucking, and handling costs on behalf of a client...” (Answer ¶7 *9)

3. **TSS acted “as a trucking (drayage) provider.”** (Answer ¶3 *1)

While TSS uses this statement to minimize its role, it actually confirms that TSS arranged for inland transportation of international cargo. Arranging inland transportation after ocean carriage is expressly identified by the FMC as an NVOCC function. This is a direct admission of regulated OTI activity.

4. **TSS “Paid port storage charges on FormuKleen’s behalf...”** (Answer ¶4 *4)

TSS explicitly states that it advanced port storage charges on behalf of the shipper. Payment of port-to-port or multimodal transportation charges, as well as advancing freight charges on behalf of a shipper, are core NVOCC activities recognized by the FMC. This statement alone

confirms that TSS engaged in financial transactions connected to international ocean shipments; activities subject to the Shipping Act.

5. **“...over the subject containers CSHU4047424 and BSIU8431017 for the unpaid charges relating to their *handling, storage, brokerage, and inland transport.*”** (Our emphases, Answer ¶3 *4)

Respondent itself concedes that its practice of withholding cargo and asserting a lien was ‘for unpaid charges relating to their handling, storage, brokerage, and inland transport.’ These are precisely the activities regulated by § 41102(c), which prohibits unjust and unreasonable practices connected with handling, storage, or delivery of property; and Respondent parrots this almost word for word.

While TSS attempts to frame their actions as those of a trucking (drayage) provider, customs broker, and warehouse operator, the detailed descriptions throughout their Verified Answer of its involvement with the cargo's physical handling, storage, and financial management after international shipment, taken collectively, serve as continuous admissions of activities that fall under the broad definitions of services performed by OTIs, which the Shipping Act governs. Every instance where TSS explains *why* it held the cargo or what it did with it after port arrival implicitly reinforces its active role in the regulated aspects of ocean commerce. These admissions are not incidental. They prove that TSS engaged in regulated activities such as warehousing, inland transportation, and advancing charges, all while attempting to disclaim its regulatory status. TSS’s own words confirm that it performed the very services the Commission has identified as subject to the Shipping Act. Its repeated denials of OTI status collapse entirely under the weight of its own Verified Answer.

TSS acknowledges that it is a licensed and regulated entity, and it never disputes that the shipments in question moved in international oceanborne commerce. Nor does it dispute that it took

physical custody of these goods after ocean arrival and conditioned their release on payment of additional charges. Instead, it asserts state-law justifications for its conduct, claiming rights under the UCC. Even if those rights existed under state law (a matter not adjudicated in this forum), they do not preempt the requirements of 46 U.S.C. § 41102(c), which mandates that regulated entities observe just and reasonable practices when handling cargo.

TSS's argument is essentially that, by invoking state-law commercial lien theories and rebranding its role, it can sidestep federal jurisdiction and exempt itself from the standards of fair practice that the Shipping Act imposes. This is legally untenable. The Federal Maritime Commission does not defer to unilaterally asserted liens or private determinations of "good faith" in the face of admitted interference with cargo release following international shipment. The law protects cargo interests from precisely this kind of arbitrary commercial self-help, particularly when it results in unjustified storage fees and delayed delivery. TSS's own statements admit that it withheld delivery until payment was received, imposed charges, and revoked services; all outside of any FMC-approved framework.

3. Respondent's 'Additional Note' Confirms Liability

TSS's "Additional Note," appearing at the end of its Verified Answer, is not a defense, it is a direct admission that it continued the very conduct alleged in the Complaint. Rather than deny that it withheld release of cargo to compel unrelated payments, TSS openly acknowledges that:

"Additional Note:

Following the filing of this Verified Complaint, TSS continued to act in good faith by allowing FormuKleen to arrange for the pickup of their cargo, despite the ongoing dispute. While FormuKleen has made partial payments toward its outstanding balance, this dispute could have been avoided

entirely had timely payment been made at the outset. As of the date of this response, a remaining unpaid balance continues to exist, further illustrating Complainant's failure to satisfy its financial obligations and undermining the credibility of its claims. TSS remains available to provide additional documentation or to appear in proceedings as may be required." (Answer ¶1 *11)

This statement amounts to a confession that TSS tied the release of cargo to payments on unrelated debts. The plain language of the note confirms that TSS withheld or delayed release unless and until FormuKleen satisfied its "outstanding balance," and that TSS believed it was entitled to do so even after the filing of this proceeding. The fact that TSS frames this as "acting in good faith" does not change the legal effect of the admission. A Respondent's belief that its conduct was reasonable or justified is irrelevant when that conduct violates statutory obligations.

Moreover, this is not a past act, TSS's own words confirm that it persisted in this practice after the Complaint was filed. This is not merely evidence of prior misconduct; it is a continuing violation, and it underscores that the core facts of this case are undisputed by Respondent's own account. TSS has confessed that it used cargo release as leverage against FormuKleen, justified its actions on the basis of an account balance, and continued this conduct even in the face of formal proceedings. That is a per se violation of the Shipping Act, particularly 46 U.S.C. §§ 41102(c) and 41104(a)(4)(E) leaving no material fact in dispute.

4. THE ENTIRETY OF RESPONDENTS VERIFIED ANSWER IS AN ADMISSION OF THE FACTS OF THE CASE

TSS does not deny that it withheld fully paid-for cargo from FormuKleen. Instead, it asserts that this conduct was "commercially necessary" to address unpaid invoices relating to unrelated shipments. This defense fails as a matter of law. The Commission has made clear that each shipment must be

treated independently, and that withholding cargo to extract payment for other shipments constitutes a per se violation of the Shipping Act. The fact that TSS believed FormuKleen owed money on other invoices is immaterial to its obligation to release cargo that had been separately invoiced and fully paid.

TSS also confirms it diverted containers from their intended destination to its own warehouse without notice or consent. This unauthorized redirection of property, combined with subsequent refusal to release, constitutes a violation of Commission precedent and law.

TSS cites UCC § 7-209 and vague “applicable maritime law” to justify its admitted retention of cargo. This argument fails on every level.

First, the UCC is not binding in maritime proceedings before the FMC. The Commission does not enforce state-level commercial code provisions, and UCC § 7-209 is irrelevant to determining liability under the Shipping Act of 1984. Jurisdiction here is Federal, and governed by statutes such as 46 U.S.C. § 41102(c), which prohibits unreasonable practices in connection with the handling, delivery, or storage of cargo.

Second, TSS's claim to a warehouseman's lien is undermined by its own admission that it “chose not to exercise that right” (Verified Answer ¶4 *1). If a lien was not formally asserted, then it is legally irrelevant and cannot serve as retroactive justification for retaining cargo. A party cannot both assert the existence of a lien and simultaneously claim it was never exercised; this is incoherent and self-defeating. If no lien was asserted, then cargo should have been released. If it was asserted, then the burden is on TSS to prove it did so lawfully and in compliance with FMC regulations. TSS has done neither.

Third, there is no citation to any actual maritime law that would justify the withholding of cargo for unrelated debts. In fact, FMC precedent is crystal clear that retaining one shipment to collect

payment for another is per se unlawful. See *Adenariwo*, in *Petra Pet, Inc. v. Panda Logistics Co. Ltd.*, Dkt. No. 11- 14, 2013 WL 9808694, at *8 (FMC Oct. 31, 2013), *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Ltd.*, FMC Docket No. 22-28, Initial Decision (Apr. 19, 2024), *Petra Pet, Inc. v. Panda Logistics Ltd.*, FMC Docket No. 11-14, Initial Decision (Aug. 14, 2012), *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l*, Docket No. 02-12, 2003 WL 136313, at *14 n.14 (ALJ Jan. 8, 2003) (“*Disputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.*”).

Finally, the claim that the retention was legally justified, non-punitive, and handled with transparency is directly refuted by TSS’s own communications. As evidenced in their April 16 email, TSS explicitly stated it was holding goods already placed into inventory “until your account has been brought up to date.” (Answer *6 RX-App0003) That is the textbook definition of using cargo as leverage; a punitive, coercive, and unlawful act under the Shipping Act. TSS cannot invent a legal right post hoc to rationalize conduct that violated Federal law.

Additionally, as discussed earlier, Respondent’s assertion that it ‘chose not to exercise’ a purported lien is tantamount to an admission that no such right existed. If a valid lien truly applied, there would have been no need to invent alternative justifications for the retention of cargo. Their own statements confirm that the withholding lacked legal foundation and was not in fact executed under any established lien procedure.

TSS attempts to justify its conduct by asserting unpaid charges related to the handling, storage, brokerage, and inland transport of the withheld containers. But TSS simultaneously admits that it conditioned release on FormuKleen “bringing its account up to date,” a phrase it used repeatedly in correspondence. That language confirms that TSS was leveraging cargo release for broader account

balances, not specific charges tied to the withheld shipments alone. This tactic squarely violates Commission precedent barring the withholding of cargo to compel payment on unrelated debts.

If Respondent genuinely believed it was lawfully entitled to withhold delivery, it could have availed itself of formal lien remedies; yet instead, it opted for diversion and obstruction. That choice reveals the true nature of their conduct: not a good-faith legal dispute, but a deliberate campaign of disruption meant to pressure and punish Complainant outside any lawful process. It defies logic to suggest that a party owed over \$40,000 would suddenly become magnanimous; refusing to invoke a lien while simultaneously diverting containers, withholding delivery, and sabotaging fulfillment. If Respondent truly believed it had legal grounds to retain the cargo, it would have followed proper legal procedures. Instead, it chose brute force: hijacking inventory and holding it hostage without any formal process, oversight, or remedy. This isn't restraint, it's retaliation. The refusal to assert a lien wasn't generosity; it was an admission that no such right ever existed.

5. RESPONDENT ADMITTED TO ADDITIONAL VIOLATIONS OF THE SHIPPING ACT ALLEGED IN COMPLAINANT'S VERIFIED COMPLAINT

Count 1 – Violation of 46 U.S.C. § 41104(a)(4)(E): Unjust or Coercive Settlement Practices

TSS admittedly violated 46 U.S.C. § 41104(a)(4)(E) by engaging in an unjust and coercive practice in the adjustment and settlement of unrelated claims. In its Verified Answer, TSS repeatedly admits that it withheld release of Complainant's cargo as leverage to extract payment for past-due amounts tied to other shipments. Specifically, TSS stated: "The container was pulled and held at our trucking partner's yard until February 25, when it was finally delivered to FormuKleen's warehouse after delays caused by unpaid balances owed to TSS." (Answer ¶1 *5). In other words, the container's release was directly conditioned on settling debts unrelated to that container.

Further confirming its unlawful conduct, TSS attached to its Verified Answer a screenshot of an internal email regarding container BSIU8431017 that states, in part: “As per my accounting department I was given instructions to bring this container to TSS Whse.” (Verified Answer *6 Exhibit RX-App0003). This admission is stunning. TSS concedes that it diverted the container; without notice, consent, or legal authority, based not on operational needs, but on “accounting” directives. This is not a logistical error or routine warehouse transfer; it is a deliberate, premeditated act of withholding cargo based on internal financial considerations. The Commission has long held that using cargo as leverage for unrelated debts or internal accounting disputes is unlawful under the Shipping Act. Here, TSS’s own evidence proves that it knowingly diverted Complainant’s property to enforce a private financial dispute. Such conduct underscores the per se nature of TSS’s violations and removes any conceivable dispute of fact.

Count 3 – Violation of 46 U.S.C. § 41102(d)(B): Retaliation and Discriminatory Treatment

TSS admittedly also violated § 41102(d)(B) by using its control over Complainant’s cargo as a retaliatory and discriminatory mechanism. In its Verified Answer, TSS claims it revoked credit, refused to advance duties, and reassigned shipments in response to FormuKleen’s payment history. These actions were not standard business decisions, they were targeted punitive measures taken against Complainant, while TSS continued to serve other clients. The refusal to advance duties and release goods was not based on the status of the specific containers in question, but rather on alleged unrelated invoices. That is the essence of discriminatory treatment: using discretion in a selective and retaliatory manner that disproportionately harms one shipper. Such conduct constitutes a violation of § 41102(d)(B), particularly when it is wielded to punish a party or pressure payment outside proper legal processes.

Count 5 – Violation of 46 U.S.C. § 41104(a)(10): Unreasonable Refusal to Deal or Negotiate

TSS's admitted conduct also violated § 41104(a)(10), which prohibits ocean transportation intermediaries from unreasonably refusing to deal or negotiate with shippers. TSS admits that it refused to release the containers unless and until FormuKleen satisfied unrelated account balances. In its own words, TSS notified FormuKleen of cargo status, storage charges, and the process to retrieve goods, which it admits in its Answer included demands for unrelated debt. The "process to retrieve goods" was not a legitimate negotiation; it was an ultimatum. Furthermore, TSS's April 16 email, attached as RX-App0003 to its Answer, states explicitly: "Goods have been placed into your inventory and will be released once your account has been brought up to date." This is not a willingness to negotiate; it is a flat refusal to deal unless extraneous demands are met. Such conduct falls squarely within the scope of § 41104(a)(10) and supports summary judgment in Complainant's favor.

6. CONCLUSION

TSS admits the operative facts of this case: that it took custody of cargo moving in ocean commerce, imposed conditions not authorized by tariff or contract, withheld delivery until unrelated debts were satisfied, and concealed the location of that cargo to gain leverage. These actions violate not only 46 U.S.C. § 41102(c), but also §§ 41104(a)(4)(E), 41102(d)(B), and 41104(a)(10). Summary judgment is warranted, and Complainant respectfully requests that the Commission grant full relief on all counts.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on July 16th, 2025, a true and current copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Respondents:

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